

varieties. Pictured is the type of technical pattern that rips the heart out of novice investors.

Imagine someone buying this stock in October, just before the rise began. Price quickly climbed from a low of about 13 to a high of 27.88, a doubling of price in a little over 3 months. On the way up, our novice investor thought that picking stocks was an easy game; his selections were turning to gold.

The first shoulder formed when price touched 27.88 and retreated to a low of 22. The decline undoubtedly upset our investor pal. He promised that he would sell the stock once it returned to its old high.



Figure 42.2 Typical complex head-and-shoulders reversal. Multiple shoulders with a single head in a rather flat formation round out the pattern. The volume pattern emphasizes that volume is usually higher on the left side of the complex top than on the right.

In early January, price zoomed up and made a smaller peak at 27.50. Since the rise was so steep, our intrepid investor thought, *Why sell the stock when it is going up?* He's right. Price retraced a bit, moved higher, and formed the head at a price of 28.63, a higher high. Yippee!